

CA.1 Owner-Builder Exemption Walkthrough

How California's owner-builder exemption actually works — which of the four exemptions you are claiming, the declaration you sign under penalty of perjury, and the sentence in it that is stricter than the statute everyone quotes.

Before you use this document

This is a process reference, not legal advice. California writes one building code for the whole state — Title 24 — but permits are issued by 58 counties and hundreds of incorporated cities, and state law lets each of them amend that code for local conditions. Confirm every item with the city or county building department that will issue your permit before you rely on it. Statute text was read at leginfo.legislature.ca.gov in August 2026; every section page prints its own amendment history.

THE SHORT VERSION

California does not have a dollar threshold above which you need a general contractor. It has something simpler and stricter: **contracting at all requires a license**, and "contractor" is defined broadly enough to cover almost any construction work done for someone else. The Contractors State License Law then carves owners out of it. If you own the property and are not building to sell, § 7044 means the licensing chapter simply *does not apply to you* — at any project cost.

B&P § 7026 ("contractor" is synonymous with "builder" and reaches anyone who undertakes to construct, alter, improve, move, wreck or demolish a structure "or to do any part thereof"); § 7044 (the owner exemptions); § 7028 (unlicensed contracting is a misdemeanor). Note that the licensing question and the permit question are different: being exempt from a license never exempts you from a permit.

IT IS FOUR EXEMPTIONS, NOT ONE — B&P § 7044(a)

This is the single most useful thing to understand before you go to the counter. Section 7044(a) contains **four separate exemptions** with **different conditions**. Guides that describe "the § 7044 owner-builder exemption" as one rule blur conditions from one branch into another — which is where the phantom "you must live there a year first" rule comes from. Find your branch, then read only its conditions.

The four exemptions in B&P § 7044(a) — find yours before you sign

Branch	What the statute requires	What it means for you
(a)(1) You do the work	An owner who builds or improves a structure on their property, provided both : (A) " <i>None of the improvements are intended or offered for sale,</i> " and (B) the owner " <i>personally performs all of the work</i> " or any work not performed by the owner is done by " <i>the owner's employees with wages as their sole compensation.</i> " No cap on structures.	The main new-build branch. Note (B): a helper paid in a profit share, in trade, or in beer is not an employee on wages — and the moment you do have employees, see workers' comp below.
(a)(2) Licensed subs do the work	An owner who builds or improves on their property, provided both : (A) the owner " <i>directly contracts with licensees who are duly licensed to contract for the work of the respective trades,</i> " and (B) for single-family residential structures, no more than four are intended or offered for sale in a calendar year — " <i>This subparagraph shall not apply if the owner contracts with a general contractor for the construction.</i> "	The four-structure cap lives only here , and switches off entirely when a licensed GC is used. Summaries routinely report the cap without either qualification.
(a)(3) Improving your own home	A homeowner improving their principal place of residence, provided all : (A) the work is performed prior to sale; (B) the homeowner " <i>has actually resided in the residence for the 12 months prior to completion of the work</i> "; and (C) they have not used this exemption " <i>on more than two structures more than once during any three-year period.</i> "	A remodel branch. This — not new construction — is where the 12-month residency requirement lives. If you are building from scratch on raw land, this branch is not yours.
(a)(4) Self-help housing	A nonprofit corporation assisting an owner-builder in a mutual self-help housing program, as those terms are defined in Health & Safety Code § 50692(a) and § 50078.	Narrow. Relevant if you are building through an organized self-help program rather than alone.

B&P § 7044(a)(1)–(4), quoted from the section text at [leginfo.legislature.ca.gov](https://leginfo.ca.gov). Current text amended by Stats. 2016, Ch. 714, Sec. 1 (SB 944), effective January 1, 2017 — verified still current August 2026.

Can you mix branches — some work yourself, some subbed?

Read strictly, (a)(1) and (a)(2) are alternatives, and most owner-builders do both: self-perform some trades and hire licensed subs for the rest. The statutory permit application settles the practical question — the Owner-Builder Declaration in Health & Safety Code § 19825 gives you a box that reads "*I, as owner of the property, or my employees with wages as their sole compensation, will do () all of or () portions of the work.*" The form California requires every jurisdiction to use therefore contemplates you doing **portions** of the work. Anyone you hire for the rest must be licensed for their trade.

WHAT YOU SIGN — THE DECLARATION IS STATEWIDE, H&S § 19825

California does something no other state in this series does: it prints **the permit application itself in the statute**. Health and Safety Code § 19825 requires every city and county that issues building permits to use an application "*in substantially the same form set forth under this subdivision.*" So the declaration you sign in Siskiyou County and the one you sign in San Diego say materially the same thing, whatever the letterhead looks like.

The statutory form runs in this order: **Building Project Identification · Licensed Contractor's Declaration · Owner-Builder Declaration · Workers' Compensation Declaration · Declaration Regarding Construction Lending Agency** (Civil Code § 8172) · a closing certification block. You will complete the third, fourth and fifth.

Two procedural requirements in § 19825 that catch people out. First, the agency must "*require any individual who executes the Owner-Builder Declaration to present documentation sufficient to identify the property owner and, as necessary, verify the signature of the property owner*" — bring photo identification and something showing you on title. Second, if anyone other than the owner signs, § 19825(b) requires an **Authorization of Agent to Act on Property Owner's Behalf**, completed by the owner and returned to the agency *before* the permit issues. Unlike some states, California does provide a statutory route for an agent — but it is a form, in advance, not a phone call on the day.

The Owner-Builder Declaration itself is affirmed **under penalty of perjury** and offers three checkboxes: you (or your employees on wages) will do all or portions of the work and the structure is not intended or offered for sale; or you are exclusively contracting with licensed contractors; or you claim some other stated basis for exemption. Then comes the sentence below.

The sentence in the declaration that is stricter than § 7044

"By my signature below I acknowledge that, except for my personal residence in which I must have resided for at least one year prior to completion of the improvements covered by this permit, I cannot legally sell a structure that I have built as an owner-builder if it has not been constructed in its entirety by licensed contractors."

Every guide to California owner-building explains § 7044(b): sell within a year and there is a *rebuttable presumption* you built for sale. True. But the sworn statement you actually sign is worded as a **flat prohibition**, its escape hatch runs **backwards** — residence for a year *before* completion, not a year of holding afterwards — and it bites on exactly the structure that was not "constructed in its entirety by licensed contractors," which is the § 7044(a)(1) owner-builder who did the work himself.

Do not try to resolve that tension yourself at the counter. If there is any chance you will need to sell inside a year, get your building department's and, if the money is real, a California construction lawyer's position **in writing before you sign**. The declaration is the document a prosecutor or a civil plaintiff will put in front of you, not the statutory summary you read online.

*Health & Safety Code § 19825(a), Owner-Builder Declaration, and § 19825(b) for the agent authorization; B&P § 7031.5 for the underlying duty. Note that § 7031.5 itself does **not** use the words "under penalty of perjury" — it*

requires "a statement which he has prepared and signed" giving the basis for the alleged exemption, and sets a **civil penalty of not more than \$500** for violating it. The oath comes from the § 19825 form text.

THE SECOND DOCUMENT — THE 12 THINGS YOU INITIAL, § 19825(c)

The Declaration is not the only thing you sign. Subdivision (c) of the same statute requires a **second** document — and it is the one that actually stops your permit.

"A permit shall not be issued unless the property owner complies"

"When the Owner-Builder Declaration required under subdivision (a) is executed, a **Notice to Property Owner** also shall be executed by the property owner in substantially the same form set forth under this section. The Notice to Property Owner shall appear on the official letterhead of the issuer ... [and] shall be completed and signed by the property owner and **returned prior to issuance of the permit**. An agent of the owner shall not execute this notice unless the property owner obtains the prior approval of the permitting authority. **A permit shall not be issued unless the property owner complies with this section.**"

Under that cover letter sits the **Owner's Acknowledgment and Verification of Information**: twelve statements you must **read and initial one at a time**, then sign and return. Note the letterhead requirement — this is why the form looks different in every California jurisdiction and has no statewide form number. It is not a Contractors State License Board publication; it is your building department's.

Four of the twelve are worth reading before you meet them at the counter, because they are admissions you are making about your own exposure:

- **Item 1 — unlicensed workers.** "I, as an Owner-Builder, may be held liable and subject to serious financial risk for any injuries sustained by an unlicensed person and his or her employees while working on my property. **My homeowner's insurance may not provide coverage for those injuries.**"
- **Item 5 — when you become an employer.** "if I employ or otherwise engage any persons, other than California licensed Contractors, and the total value of my construction is at least **five hundred dollars (\$500)**, including labor and materials, I may be considered an 'employer' under state and federal law." Read that figure carefully: the form still says \$500, and it is measuring something different from § 7048's \$1,000 — becoming an employer, not qualifying for a licensing exemption.
- **Item 7 — building to sell.** "an Owner-Builder who builds single-family residential structures cannot legally build them with the intent to offer them for sale, unless all work is performed by licensed subcontractors and the number of structures does not exceed four within any calendar year, or all of the work is performed under contract with a licensed general building Contractor." That is § 7044(a)(2) restated as something you personally acknowledge.
- **Item 8 — after you sell.** "if I sell the property for which this permit is issued, I may be held liable for any financial or personal injuries sustained by any subsequent owner(s) that result from any **latent construction defects** in the workmanship or materials."

Health & Safety Code § 19825(c) and the form text set out in that section (amended by Stats. 2010, Ch. 697, Sec. 39 — SB 189). Ask your building department to send you this form **before** the day you apply; § 19825(c) lets them provide it by mail, electronically, or at the counter, and reading twelve liability acknowledgments while a queue forms behind you is not when you want to meet them for the first time.

THE SALE RULE — B&P § 7044(b), AND THE PART NOBODY PRINTS

Section 7044(b) sets two presumptions, and almost every summary reports only the first.

Two presumptions, not one

(b)(1) — rebuttable. "Except as provided in paragraph (2), proof of the sale or offering for sale of a structure by or for the owner-builder within one year after completion of the structure constitutes a rebuttable presumption affecting the burden of proof that the structure was undertaken for purposes of sale."

(b)(2) — conclusive. "Proof of the sale or offering for sale of five or more structures by the owner-builder within one year after completion constitutes a conclusive presumption that the structures were undertaken for purposes of sale."

Both phrases are terms of art, and the Evidence Code defines them. A "**presumption affecting the burden of proof**" operates "to impose upon the party against whom it operates the burden of proof as to the **nonexistence** of the presumed fact" (Evid. Code § 606) — so you must affirmatively prove a negative: that you did *not* build for sale. A **conclusive** presumption (Evid. Code § 620) admits no contrary evidence at all. At five structures the question is closed against you as a matter of law.

Three details worth holding on to. The trigger is **sale or offering for sale** — putting the house on the market inside the year is enough, even if it does not sell. The clock runs from **completion**, which the section does not define. And a rebuttable presumption is not a finding of guilt: it shifts the burden onto you to show you did not build for sale. That is survivable with good records — a mortgage in your name, utilities, voter registration, a genuine reason for the move — and miserable without them.

B&P § 7044(b)(1), (b)(2); Evidence Code § 606, § 620. **And note who can come after you.** Under B&P § 7044.01 "any licensed contractor or association of contractors, labor organization, consumer affected by the violation, district attorney, or the Attorney General shall be entitled to seek injunctive relief" against an owner-builder who is neither licensed nor exempt — the plaintiff "shall not be required to prove irreparable injury" and recovers attorney's fees if it prevails. A prevailing defendant recovers fees too. This is a private enforcement channel, not just a regulator's, and a competing licensed builder who thinks you are building to sell can use it.

WHO YOU MAY PAY — AND WHAT HAPPENS IF YOU PAY THE WRONG PERSON

Your exemption covers **you**. It does nothing for the people you hire. Anyone you pay to perform work that requires a license must hold one for their trade, and the only small-job relief is § 7048 — which is narrower than its headline number suggests.

§ 7048 has four conditions, not one

The exemption applies only where the aggregate contract price for **labor, materials, and all other items is less than \$1,000** — **and** *"the work or operation does not require a building permit"* (§ 7048(a)); **and** the work is not *"only a part of a larger or major operation,"* nor split into sub-\$1,000 contracts to evade the chapter (§ 7048(b)); **and** the person does not advertise or hold themselves out as a contractor, and does not *"employ another person to perform, or assist in performing, the work"* (§ 7048(c)).

On a permitted house build, condition two is usually fatal on its own: your project requires a building permit, so § 7048 does not reach work that forms part of it. Treat § 7048 as covering the odd unpermitted errand, not your trades.

*B&P § 7048. The substance is **AB 2622 (Stats. 2024, Ch. 240), effective January 1, 2025** — it raised the threshold from \$500 to \$1,000 and added both the "no building permit" condition and the no-employees condition in (c)(2). The section carries a later line, Stats. 2025, Ch. 67 (AB 1170), but that is the Legislature's annual maintenance-of-the-codes bill and its only change here was moving a comma. **Cite AB 2622 for the rule.** AB 2622 has no sunset.*

If you do pay an unlicensed person, the law is on your side — expensively. Under § 7031(a) an unlicensed contractor cannot sue you for payment at all, *"regardless of the merits of the cause of action."* Under § 7031(b) you *"may bring an action ... to recover all compensation paid to the unlicensed contractor"* — all of it, not the overpayment. Any security interest they took to secure payment is unenforceable (§ 7031(c)). And § 7028(h) makes you, the person who hired them, *"a victim of crime ... eligible ... for restitution for economic losses, regardless of whether he or she had knowledge that the person was unlicensed."*

That is a remedy, not a plan — recovering from someone unlicensed and possibly unfindable is its own project, and meanwhile their injuries are your problem. **Check every license before work starts and again before final payment** — see CA.4.

*B&P § 7031(a), (b), (c) (Stats. 2020, Ch. 312 — SB 1474); § 7028(h). Unlicensed contracting is a misdemeanor under § 7028(b): first conviction up to **\$5,000** or six months in county jail or both; on a second the court must impose the greater of 20% of the contract price or \$5,000, plus not less than 90 days (§ 7028(c)).*

WORKERS' COMPENSATION — CALIFORNIA HAS NO FREE PASS

Many states only require workers' compensation once you employ three or more people.

California has no such threshold. Labor Code § 3700 says *"every employer except the state shall secure the payment of compensation."* One employee is enough. This is the exposure that turns a § 7044(a)(1) build — the branch that expressly contemplates *"the owner's employees"* — into a real risk.

The number that matters is 52 hours — and it is an OR

A person doing work around a residence is an employee under Labor Code § 3351(d). Section 3352(a)(8) then excludes such a person if, during *"the 90 calendar days immediately preceding the date of injury,"* the employment "comes within **either** of the following descriptions": (A) *"The employment was, or was contracted to be, for less than 52 hours";* or (B) *"The employment was, or was contracted to be, for wages of not more than one hundred dollars (\$100)."*

Because it is **either**, the practical line is the **52 hours**: a helper who works 52 hours or more in the preceding 90 days is not excluded, whatever they were paid. On a house build, 52 hours is a week and a half. Three exactness points, because this sentence is misquoted constantly: (A) is **"less than 52 hours"** — strict — while (B) is **"not more than \$100"** — inclusive; the window is the 90 days before the **injury**, not the length of the job; and *"or was contracted to be"* counts what you agreed to, however few hours were actually worked. Separately, § 3352(a)(1) excludes a § 3351(d) person employed by **your parent, spouse, or child**.

And do not lean on this exclusion too hard — it may not reach your job at all.

Section 3352(a)(8) excludes only *"a person described in subdivision (d) of Section 3351,"* and § 3351(d) describes someone whose duties are *"incidental to the ownership, maintenance, or use of the dwelling"* or *"personal and not in the course of the trade, business, profession, or occupation of the owner."* That language was written for housekeepers and gardeners. If a framer or an electrician on a new build is **not** a § 3351(d) residential employee, then the 52-hour exclusion never applies to them **at any number of hours** — they are a plain § 3351 employee from the first hour.

This kit will not tell you which way that falls, because the statute does not resolve it and it turns on case law. But *"I only had him for twenty hours, so I do not need cover"* is the single most common owner-builder assumption in California and it rests on a reading the text does not clearly support. **If you are paying anyone directly, price a policy, and get an attorney's view before you rely on the exclusion.**

What going without costs. The statutory permit application prints the warning in capitals: failure to secure coverage *"SHALL SUBJECT AN EMPLOYER TO CRIMINAL PENALTIES AND CIVIL FINES UP TO ONE HUNDRED THOUSAND DOLLARS (\$100,000), IN ADDITION TO THE COST OF COMPENSATION, DAMAGES AS PROVIDED FOR IN SECTION 3706 OF THE LABOR CODE, INTEREST, AND ATTORNEY'S FEES."* Section 3706 is the sharp end: if you have not secured coverage, an injured worker *"may bring an action at law against such employer for damages, as if this division did not apply"* — you lose the exclusive-remedy protection that caps a comp claim, and face an ordinary personal-injury suit with no ceiling.

At the permit counter you will sign one of three options in the Workers' Compensation Declaration, under penalty of perjury: you self-insure; you carry a policy (carrier, number, expiry); or you *"shall not employ any person in any manner so as to become subject to the workers' compensation laws of California"* and will comply forthwith if that changes. Sign the third only if it is true, and revisit it the day you first hand someone cash.

Lab. Code § 3700 (duty to secure — no minimum employee count); § 3351(d) (Stats. 2023, Ch. 133 — AB 1766); § 3352(a)(1), (a)(8); § 3706 (loss of exclusive remedy); § 3800(a) (the city or county "shall require that each applicant for the permit sign a declaration under penalty of perjury verifying workers' compensation coverage or exemption from coverage, as required by Section 19825 of the Health and Safety Code"). The \$100,000 warning text is quoted from the § 19825 form itself.

DOING YOUR OWN ELECTRICAL, PLUMBING, AND MECHANICAL WORK

California handles this more simply than most states. There is no separate owner exemption to qualify for trade by trade: the C-10 electrical, C-36 plumbing and C-20 mechanical classifications are classifications of **contractor's license**, and § 7044 exempts you from the licensing chapter as a whole. The classifications govern the people you hire.

Three things that are still true

Every trade still needs a permit and an inspection. Being exempt from a license is not being exempt from a permit. The remedy for skipping one is opening up finished work.

Some jurisdictions restrict owner self-performed work anyway — most often the main service, gas piping, or anything the utility must energize. That is local policy, not a § 7044 question. Ask your building department which trades they will let an owner-builder self-perform before you plan the work.

Two jobs you cannot take on at all: fire sprinklers and water well drilling. Section 7057(c) bars even a licensed general building contractor from contracting for a fire protection system or C-57 well drilling without that classification, and Water Code § 13750.5 gives owners no drilling exception. Both come from their own specialist.

B&P § 7057(a), (c); § 7026.12 and § 7026.13 (fire protection); Water Code § 13750.5 (C-57 well drilling).

*Handling refrigerant is a separate **federal** matter: EPA Section 608 technician certification is required to open a refrigerant circuit, and refrigerant may not be sold to uncertified persons (40 C.F.R. Part 82, Subpart F).*

QUALIFICATION CHECKLIST — WORK THIS BEFORE YOU APPLY

Every line below is a condition a statute imposes or a fact the permit counter will ask you to prove. Work down it with a pen. If you cannot check a box, resolve it before you file — not after.

Step 1 — Ownership, intent, and your branch

	Item	Date	Notes / evidence
☐	Title is recorded in your name as of the permit application date APN: _____ Recorded: _____		

Step 1 — Ownership, intent, and your branch

	Item	Date	Notes / evidence
☐	Identified which § 7044(a) branch you are claiming — (1) own work, (2) licensed subs, or (3) principal-residence remodel Branch claimed: _____		
☐	The improvements are not intended or offered for sale — no listing, purchase option or marketing exists or is contemplated — and you can hold the finished house unsold and unlisted for at least 12 months after completion		
☐	If a sale inside a year is even possible, you have your building department's written position before signing Date requested: _____ Response: _____		

Step 2 — The people you will pay

	Item	Date	Notes / evidence
☐	Every contractor you will hire holds a current CSLB license in the right classification for their trade		
☐	Each license checked at the CSLB lookup — record the number and the date you checked License #: _____ Checked: _____		
☐	You are not relying on § 7048 to pay anyone for permitted work — it does not reach work that requires a building permit		
☐	Anyone helping you who is not a licensed contractor is your employee on wages, or your parent, spouse or child		
☐	Workers' compensation decided: policy in place, or the no-employee declaration is genuinely true Carrier / N/A: _____ Policy: _____		
☐	You understand 52 hours in any 90 days makes a residential helper a covered employee, whatever they were paid		

Step 3 — At the counter

	Item	Date	Notes
☐	Photo identification and proof you are the owner on title, ready to present as § 19825 requires — and, if anyone else will sign for you, the Authorization of Agent completed and returned before issuance		
☐	Notice to Property Owner requested from your building department, all twelve items read and initialed, signed and returned — no permit issues without it (§ 19825(c)) Requested: _____ Returned: _____		
☐	You have read the Owner-Builder Declaration's closing acknowledgment — the sentence about not selling — and accept it. Construction lender named, or noted as none Lender / none: _____		

The rest of the paperwork — plans, Title 24 compliance documentation, septic and well, fire-zone construction, grading and school fees — is worked in **CA.2 Permit Application Checklist**, and every document is described in **CA.5 Forms & Documents Index**.

WHAT TAKES THE EXEMPTION AWAY

- Building something you intend to sell — the condition in § 7044(a)(1)(A) is about **intent at the time**, not only about what happens later.
- Selling or **offering for sale** within one year of completion, which raises the rebuttable presumption; five or more structures makes it conclusive.
- Not owning the property, or paying helpers as anything other than employees on wages if you are relying on § 7044(a)(1)(B).
- Using the (a)(3) remodel branch without having actually resided in the home for the 12 months before the work is complete.

Consequences the statutes actually name: a **\$500 civil penalty** for a false or missing exemption statement on the application (§ 7031.5); **perjury** exposure on the declaration itself (H&S § 19825); unlicensed contracting as a **misdemeanor** carrying up to \$5,000 and six months on a first conviction (§ 7028(b)); and — if you employed anyone without coverage — **civil fines up to \$100,000** and an uncapped tort suit by the injured worker (Lab. § 3706).

Sources — every California claim in this document (verified August 2026)

What this document states	Authority
No project-cost threshold; contracting for another requires a license	B&P § 7026, § 7028

Sources — every California claim in this document (verified August 2026)

What this document states	Authority
Four separate owner exemptions with different conditions	B&P § 7044(a)(1)–(4)
Own-work branch: nothing intended or offered for sale; helpers must be employees on wages. The four-structure cap applies only to the licensed-sub branch, and the 12-month residency test only to the remodel branch	B&P § 7044(a)(1)–(a)(3)
Sale or offering within one year — rebuttable presumption; five or more structures — conclusive	B&P § 7044(b)(1), (b)(2)
Permit applicant must state the basis of exemption (\$500 civil penalty); the application, Owner-Builder Declaration and agent authorization are fixed statewide	B&P § 7031.5; H&S § 19825
A second signed document — the Notice to Property Owner and its twelve initialed acknowledgments — gates the permit	H&S § 19825(c)
Injunction by any licensed contractor, association, union, consumer, DA or the AG, with attorney's fees and no need to prove irreparable injury	B&P § 7044.01
Minor-work exemption: under \$1,000, no permit, not part of a larger job, solo, no advertising	B&P § 7048(a)–(c)
Unlicensed contractor cannot sue for payment; owner may recover all compensation paid; the hirer is a crime victim	B&P § 7031(a), (b); § 7028(h)
A GC may not contract fire protection or C-57 well drilling without the classification	B&P § 7057(c)
Every employer shall secure compensation — no minimum employee count; no coverage means the worker sues at law with no exclusive remedy	Lab. § 3700, § 3706
Residential employee excluded only under 52 hours OR \$100 in the preceding 90 days; parent, spouse or child excluded	Lab. § 3351(d); § 3352(a)(1), (a)(8)
Comp declaration under penalty of perjury; construction lender named	Lab. § 3800(a); Civ. § 8172

Read any section cited above at [leginfo.legislature.ca.gov](https://leginfo.ca.gov) → California Law, or go straight to [leginfo.legislature.ca.gov/faces/codes_displaySection.xhtml?lawCode=BPC§ionNum=7044](https://leginfo.ca.gov/faces/codes_displaySection.xhtml?lawCode=BPC§ionNum=7044) and swap in the code and section. Codes used here: **BPC** Business and Professions, **HSC** Health and Safety, **LAB** Labor, **PRC** Public Resources, **CIV** Civil, **WAT** Water, **EDC** Education. Each page prints its own amendment history — check it against this kit's August 2026 verification.